Your Retirement Withdrawal & Medicare Cost Planner

One withdrawal decision affects five numbers: your taxes, your Social Security, your Medicare premium two years from now, and more. See them all before you decide.

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GETTING STARTED

What This Planner Helps You Decide

How much you withdraw from a Traditional IRA or 401(k) in a given year doesn't just affect one number on your tax return. It cascades through five separate calculations: how much of your Social Security becomes taxable, which tax bracket you land in, how much tax you owe, your Medicare-related MAGI, and — two years later — your Medicare Part B and D premium. This planner walks through all five, together, using one real decision at a time.

IMPORTANT

Most retirement calculators show you ONE of these five numbers in isolation. This planner exists because the real decision only makes sense when you see all five at once — the same interconnected view a fee-only financial planner would build for you as part of a paid engagement.

Who this is for

- You have flexibility in how much to withdraw beyond your required RMD
- You're deciding between a Roth conversion, a larger withdrawal, or holding steady
- You want to see the full downstream effect of a decision before making it, not after

Who should also talk to a professional

- Your income includes complex business, trust, or rental income
- You're considering a very large one-time event (major property sale, large Roth conversion)
- Your state taxes Social Security or retirement income (this planner covers federal rules only)

BEFORE YOU START

Before You Begin

Gather these five things before working through this planner — having them on hand makes each step below a five-minute fill-in rather than a research project.

- ☐ Your Traditional IRA/401(k) balance and calculated RMD (see the Seniors Audit RMD Calculator or RMD Workbook if you haven't already)
- ☐ Your annual Social Security benefit amount
- ☐ Your other income: pension, part-time work, taxable investment income
- ☐ Any tax-exempt interest (municipal bonds)
- ☐ Your filing status

STEP 1

Step 1 — Your Required Minimum Distribution

If you're at or past your RMD start age (73 for those born 1951–1959, 75 for those born 1960 or later), you have a required minimum withdrawal each year:

> *Account balance ÷ IRS divisor = RMD*

For a full walkthrough of this calculation and the first-year timing trap, see the companion Seniors Audit RMD Tax & Withdrawal Planning Workbook.

My required minimum distribution this year: _____

Additional amount I'm considering withdrawing beyond the RMD (if any): _____

STEP 2

Step 2 — How Withdrawals Affect Your Social Security Taxation

Up to 85% of your Social Security benefit can become taxable — but only if your "combined income" crosses specific thresholds. A larger IRA withdrawal directly increases this combined income, which can push more of your Social Security into taxable territory.

> *Combined income = Adjusted Gross Income (excluding Social Security) + tax-exempt interest + 50% of your Social Security benefit*

Combined income (single)	Combined income (MFJ)	Taxable portion of benefits
Under $25,000	Under $32,000	0%
$25,000 – $34,000	$32,000 – $44,000	Up to 50%
Over $34,000	Over $44,000	Up to 85% (this is a ceiling, never more)

IMPORTANT

These thresholds have NOT been adjusted for inflation since the 1980s and 1993. Unlike almost every other number in the tax code, they never move — which means more retirees cross into taxable territory every year, purely because Social Security's own cost-of-living increases push combined income higher over time.

WORKED EXAMPLE

A single retiree with $20,000 in Social Security and $20,000 in other income has combined income of $30,000 ($20,000 other + $10,000 half-benefit) — landing in the 50% band, making about $2,500 of their benefit taxable. If they withdraw an extra $20,000 from their IRA, their combined income jumps to $50,000, well past the 85% threshold — a significantly larger share of their Social Security becomes taxable, on top of the tax owed on the withdrawal itself.

Source: IRS Publication 915; Social Security Benefits Worksheet, Form 1040 Instructions

STEP 3

Step 3 — Income Sources That Don’t Count Toward Combined Income

Not all withdrawals are treated equally by this formula. Some income sources are invisible to the Social Security taxation calculation entirely:

- ☐ Qualified Roth IRA withdrawals — do NOT count toward combined income
- ☐ HSA distributions used for qualified medical expenses — do NOT count
- ☐ Return of basis (your own already-taxed contributions) — does NOT count

GOOD TO KNOW

This is one of the most valuable planning levers available: if you have a mix of Roth and Traditional accounts, drawing more from Roth in a year when you’re near a Social Security taxation threshold can keep more of your Social Security untaxed — the same dollar amount of spending money, with a meaningfully different tax outcome.

Source: IRS Publication 915

STEP 4

Step 4 — Your 2026 Deduction Stack

Deduction	2026 amount
Base standard deduction (single)	$16,100
Base standard deduction (MFJ)	$32,200
Additional deduction, age 65+ (single)	$2,050
Additional deduction, age 65+ (per spouse, MFJ)	$1,650
NEW: OBBBA senior deduction, age 65+ (2025–2028 only)	Up to $6,000/person

IMPORTANT

The new $6,000 OBBBA senior deduction reduces your final taxable income, but it does NOT reduce the combined-income figure used in Step 2's Social Security taxation formula. These are two separate calculations using two different income figures — don't assume a lower final tax bill also means less of your Social Security was taxed.

The OBBBA deduction phases out above $75,000 (single) / $150,000 MAGI (MFJ), fully gone at $175,000 / $250,000. See the companion RMD Tax & Withdrawal Planning Workbook for the phase-out calculation.

Source: IRS.gov, 2026 Filing Season Updates for Seniors; IRS Revenue Procedure 2025-32

STEP 5

Step 5 — Where Your Total Income Lands

Single filers, 2026

Taxable income	Tax rate
$0 – $12,400	10%
$12,400 – $50,400	12%
$50,400 – $105,700	22%
$105,700 – $201,775	24%
$201,775 – $256,225	32%
$256,225 – $640,600	35%
Over $640,600	37%

Married filing jointly thresholds are exactly double these amounts for every bracket except the top one — the 37% bracket starts at $768,700 for joint filers, not the $1,281,200 that doubling would suggest. This is an intentional feature of the tax code sometimes called the top-bracket marriage adjustment, and it only matters at very high income levels well above most RMD-driven withdrawal decisions. These are marginal rates — only income within each bracket is taxed at that bracket's rate.

Source: IRS Revenue Procedure 2025-32

STEP 6

Step 6 — How This Year's Decision Affects Medicare in Two Years

Your Medicare Part B and D premium for a given year is based on your tax return from two years earlier. A withdrawal decision you make this year determines your Medicare cost two years from now — not this year.

2026 IRMAA brackets (based on 2024 income)

MAGI (single)	MAGI (MFJ)	Total Part B/mo	Part D surcharge/mo
$109,000 or less	$218,000 or less	$202.90 (standard)	$0
$109,001 – $137,000	$218,001 – $274,000	$284.10	+$14.50
$137,001 – $171,000	$274,001 – $342,000	$405.80	+$37.50
$171,001 – $205,000	$342,001 – $410,000	$527.50	+$60.40
$205,001 – $499,999	$410,001 – $749,999	$649.20	+$83.30
$500,000 or more	$750,000 or more	$689.90	+$91.00

Amounts are per person — a married couple where both spouses are on Medicare each pay their own full surcharge at their tier. The top tier is frozen by statute and isn't inflation-adjusted; all other tiers move slightly most years.

IMPORTANT

This is a cliff, not a phase-in — $1 over a threshold triggers the full surcharge for that tier, for an entire year, for each spouse on Medicare separately. For strategies to appeal an IRMAA determination (SSA-44, life-changing events) or model conversions against these cliffs in more depth, see the companion IRMAA & Medicare MAGI Planning Workbook.

Source: CMS 2026 Medicare Parts A & B Premiums and Deductibles Fact Sheet (published Nov. 14, 2025)

STEP 7 · THE CENTERPIECE

Compare Your Withdrawal Scenarios Side by Side

This is the core of this planner. Fill in three different withdrawal amounts and trace each one through all five effects.

	Scenario A (RMD only)	Scenario B (RMD + moderate extra)	Scenario C (RMD + larger extra)
Total withdrawal *RMD + any extra amount*			
Combined income (Step 2) *AGI excl. SS + tax-exempt interest + 50% of SS benefit*			
Est. % of Social Security taxed *0%, up to 50%, or up to 85% — from the Step 2 table*			
Total taxable income *After standard, 65+, and OBBBA deductions (Step 4)*			
Marginal tax bracket *From the Step 5 table*			
Estimated federal tax owed *Apply Step 5 rates to taxable income*			
MAGI for Medicare purposes *AGI + tax-exempt interest — see Step 6*			
Projected IRMAA tier *(2 years from now) — compare to Step 6 thresholds*			
Total combined cost *Federal tax owed + future Medicare surcharge, if any*			

Need to compare a fourth scenario? Photocopy this page before filling it in, or download a blank copy at seniorsaudit.com/tools/scenario-table

STEP 7 · INTERPRETATION

Interpreting Your Scenario Table

Look at the bottom row of your completed table. The scenario with the lowest total combined cost isn't automatically the "right" choice — you may need the extra withdrawal for actual living expenses. But now you're deciding with full information instead of only seeing the withdrawal amount itself.

GOOD TO KNOW

Pay special attention to whether any scenario crosses a Social Security taxation threshold (Step 2) or an IRMAA threshold (Step 6) that a slightly smaller withdrawal would have avoided entirely — these are the moments where a small adjustment can prevent a disproportionately larger cost.

STEP 8

Step 8 — Combining Strategies for Maximum Effect

The most effective retirement income planning often combines two tools at once:

1. **A Qualified Charitable Distribution (QCD)** — satisfies part of your RMD while completely excluding that amount from your AGI, MAGI, and combined income calculations. You can start QCDs at age 70½ — which can be years before your RMD age, especially if you were born 1960 or later (RMD age 75). The 2026 annual QCD limit is $111,000 per person ($222,000 for a married couple, each with their own IRA). See the companion RMD Workbook for full mechanics.
2. **Strategic Roth withdrawals** — covering additional spending needs from Roth funds instead of Traditional accounts, since Roth withdrawals don't count toward combined income at all (Step 3).

IMPORTANT

Used together, these two tools can let you access the same amount of total spending money while minimizing the cascading effects across all five calculations in this planner. This is the kind of combined strategy that's easy to miss when looking at each tool separately.

YOUR WORKSHEET

Your Decision Worksheet

- ☐ I’ve completed the scenario table in Step 7
- ☐ I’ve identified which scenario has the lowest total combined cost
- ☐ I’ve checked whether any scenario crosses a Social Security taxation threshold unnecessarily
- ☐ I’ve checked whether any scenario crosses an IRMAA threshold unnecessarily
- ☐ I’ve considered whether a QCD or Roth withdrawal could reduce my combined income for the same spending need

Weighting guide: If your scenarios show similar total costs regardless of withdrawal amount, your decision can be driven mainly by your actual spending needs. If one scenario shows a disproportionately higher total cost — especially from crossing a Social Security or IRMAA threshold — that’s a strong signal to explore whether a QCD, Roth withdrawal, or smaller withdrawal amount could avoid that specific cliff.

TAKE ACTION

Action Checklist

- ☐ Calculate your RMD (Step 1)
- ☐ Calculate your combined income and Social Security taxation exposure for each scenario (Step 2)
- ☐ Consider whether Roth or QCD strategies apply to your situation (Steps 3 and 8)
- ☐ Calculate your deductions, including the new OBBBA senior deduction (Step 4)
- ☐ Complete the full scenario comparison table (Step 7)
- ☐ Make your withdrawal decision with your tax preparer or financial advisor, using this completed planner as your starting point

BEFORE YOU DECIDE

Common Mistakes & Pro Tips

1. **Looking at tax bracket alone and ignoring Social Security taxation.** A withdrawal that stays in the same tax bracket can still push significantly more of your Social Security into taxable territory.
2. **Assuming the OBBBA deduction reduces your Social Security taxation.** It doesn't — it's a separate calculation using a separate income figure.
3. **Forgetting the two-year delay on Medicare costs.** A withdrawal decision this year doesn't show up in your premium until two years later — easy to forget when the decision feels immediate.
4. **Not checking whether Roth funds are available before assuming a Traditional withdrawal is the only option.** The tax difference can be substantial.
5. **Treating this as a one-time exercise.** Rerun this planner each year your situation changes — your RMD amount grows every year, and your optimal strategy may shift too.

PRO TIP

Run this comparison in November or early December, before the tax year closes — a QCD or a withdrawal adjustment made after December 31 can't apply retroactively to the year you're planning for.

READING THE GUIDE

How to Read the Confidence Markers

- **Straightforward** — Single account type, stable income, no major life changes this year.
- **Review carefully** — Multiple account types, considering a QCD or Roth conversion for the first time.
- **Professional review recommended** — Very large withdrawal amounts, complex income sources, or a decision near multiple thresholds simultaneously.

SOURCES

Sources & Update Information

- IRS Publication 915 (Social Security and Railroad Retirement Benefits taxation)
- IRS Publication 590-B (RMD rules)
- IRS Revenue Procedure 2025-32 (2026 tax brackets and deductions)
- IRS.gov 2026 Filing Season Updates for Seniors
- CMS 2026 Medicare Parts A & B Premiums and Deductibles Fact Sheet
- Companion products: Seniors Audit RMD Tax & Withdrawal Planning Workbook, IRMAA & Medicare MAGI Planning Workbook
- Free Seniors Audit calculators: RMD, Social Security Tax Withholding, IRMAA, MAGI for Medicare — seniorsaudit.com/tools/

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